

Chapter Two

Legal forms ownership of business

There are various legal forms of ownership of business that the businesspersons can own. These are sole proprietorship, partnership, Private Limited Company (Corporation). The major objectives of this session are to introduce students with the choice of the different forms of business ownership, the characteristics of a suitable form of organization, advantages and disadvantages of each form of business organization.

2.1 INTRODUCTION

Ownership of business organization may take many different legal forms, each of which carries specific duties and responsibilities. There are four most prevalent forms of ownership of business-named sole proprietorship (individual ownership), partnership (joint ownership), private limited company, and corporation (stockholders ownership). All business owners must decide which form of legal organization will best satisfy their interest and requirement. There are certain factors that deserve due considerations in choosing the suitable form of ownership of business.

2.2 CHARACTERISTICS OF IDEAL (SUITABLE) FORM OF BUSINESS ORGANIZATION

- **Simple to establish and dissolve** - The desirable form of business is the one, which can be, organized with the least difficulty least expense and which requires minimum effort to fulfill legal requirement. Just like organization, the ideal form of business is that which requires minimum effort to dissolve that business. Dissolution means termination of the operation of that business.
- **The requirement of capital** - Sufficient amount of fund is necessary to finance the operation of the business. If the amount of capital required is very large, the owners must ensure the safety of their investment, fair return on investment and the transferability of their capital. Owners always interested in the business that will pay them the best return on their investment,
- **Less Risk (limited liability)** - The businesspersons will naturally prefer to have limited liability. They choose the organization in which they are responsible to the extent of their investment in that business i.e limited liability. This is a legal condition under which any damages or liability attribute to the business will not be attached to the owner's personal property. That means if the business become insolvent or wind up, the owners will be responsible only up to the amount they contribute to the business.
- **Relationship between ownership and management (control)** - There is a situation where ownership of the business and management of the business are separated. A good form of business is the one, which invites a direct relationship between ownership and control because non-owner management may not have a direct personal interest in maximizing profit through efficient operating.
- **Flexibility of Operation** - a good form of organization is that which is flexible and adaptable to the changing conditions.
- **Continuity and Stability** - This refers to the extent to which an organization enjoys uninterrupted existence over a long period of time. The business should be able to formulate plans for the future so that it attracts investors and pays return on investment for considerable period of time. Continuity is also socially desirable because if the

organization is continuous and stable, it provides a continuous employment opportunity to the member of the society.

- **Maintenance of secrecy** - A good form of business organization is the one, which retains the vital business secrets without being leaked out to the competitors. The businessperson has to be careful to ensure the business chosen by him/her should allow to retain business confidential.
- **Less Government Control** - Different forms of organization are to varying degrees of regulation and control by the government. If there is strong government control, the business may entail considerable amount of time, money, energy and effort to comply with legal formality and instructions of the government.
- **Less Tax Liability** - Other things being equal, the ideal form of organization will be that which incurred minimum amount of tax liability.

2.3 SOLE PROPRIETORSHIP

The sole proprietorship can be defined as a form of business organization in which an individual introduces his/her own capital, uses his/her own skill and intelligence, and is solely responsible for the results of its operation. It is the oldest and most common form of business organization in which one person assumes all risks and all profits. In this form of business there is no distinction between the business and the individual's private affairs. That means the law recognizes the business and the individual owner as one and the same.

A sole proprietor may receive help from others (family) in operating the business, but he/she is usually the only boss. The capital needed to start and operate the business is not high and it is normally provided by the owner from personal wealth or borrowed money. In such form of ownership, prompt decision is very important and special consideration is given to the needs, tasks and fashions of customers.

This form is also known as individual or single proprietorship, sole proprietorship, individual enterprise or individual entrepreneurship. Examples are private colleges, restaurants, photo studios, grocery, retail shop, private hospitals, clinics etc.

2.3.1. Advantages of Sole proprietorship

A sole proprietor is usually an active manager working in his/her business everyday, he/she controls the operations, supervises the employees and makes decisions promptly. Some of the advantages of the sole proprietorship are:

- **Ownership of all Profits** The single ownership allows the owner to receive all profits generated by the business.
- **Simple and Low cost of Establishing and dissolution.** It is very simple to start and operate a sole proprietorship form of business. If an individual has a reasonable money to start the profitable business the necessary thing is only to get license from the authorized office. There is little legal procedure to be followed. Similarly if the business is not profitable and the owner would not be able to run that business, it is easy to dissolve such kind of business. The necessary thing to be done is to pay debt if there is any and to return the license to the theorized office.
- **Independence and personal satisfaction.** The concept of being one's own boss may be the most important reason for an individual to establish one's own business. As a sole proprietor, one has the satisfaction of working for himself/herself. One can make his/her own decision

regarding the hours to work, the employees to hire, whether to expand the business in to another line. co-ordination is not as such a problem and decision-making becomes absolute and quick.

- **Tax advantages.** Special taxes that are levied against a corporation that causes double taxation are not applicable in the sole proprietorship. Since the law recognizes the business and the owner as one and the same, the business is levied a single tax.
- **Retention of business secrecy.** The sole proprietor is not legally required to publish its financial condition nor it is required to make other confidential information public. since confidential information is a key to the success of a competitive business, it is unlikely that the owner will leak the information. Thus, any change that the owner wants to make concerning the business methods, policies and procedures can be done without the knowledge of others. This can help the sole proprietor to take advantage of business opportunities.
- **Social Acceptability.** This form of owner ship of business is also socially desirable since everybody becomes the owner of business; it implies that wealth is distributed among the majority of the members of the society.

2.3.2 Limitation of Sole Proprietorship

As there are some advantages of owning this form of business, there are also some limitations. The limitations include the following.

- **Unlimited Liability.** In this form of ownership business liabilities are personal liabilities. The owner of the business is personally liable for all debts incurred by the business. Unlimited liability makes the owner's assets available to satisfy the claims of creditors of the business. if his/her original investment will not cover the obligation of the business, the creditors have legal right to claim the personal and legal property of the owner.
- **Limited resources.** That means there is a limitation of financial and human resource. Since the individual is the sole owner of the business, he/she must rely on his/her own ability to borrow money in order to finance the operation of the firm. Banks and other lending institutions may hesitate to lend large sum of money to a single proprietor. Similarly creditors might be unwilling to sell large quantities of items on credit to a single owner or to a business that is run and supported by one individual.
- **Difficulties of management.** Because of the smallness of the firm, the individual owner must assume the responsibility of a diversification of managerial tasks (hiring employees, purchasing, selling, financing etc.). Most failures of the sole proprietorship directly attributed to lack of such managerial capability.
- **Lack of Continuity.** Since the business and the owner are one and the same, the death, insanity, imprisonment, retirement of the owner or bankruptcy of the business could terminate the life of the business. However the business can be recognized and recover soon after the owner's death if a successor has been trained to take over the business.
- **Lack of Opportunity for employees' status.** the sole proprietorship, since, it may be small, may not satisfy this interest of the employees. Therefore, ambitious employee may not stay in the business for a long period of time where there is so limited opportunity to grow in their status.

2.4. Partnership

Partnership is legal association of two or more persons as co-owners of a business for profit. The word 'partner' is derived from two words "part" and "owner". This form of business ownership represents the second stage in the evolution of the form of business organization. Partnerships are often the extensions of a business that began as a sole proprietorship. The original owner may want to expand the business or the business may have grown too big for a single person to manage it. It grew essentially to meet the requirements of expanding the business, which calls for more capital and diversified managerial ability that were considered as limitations of the sole proprietorship.

According to the commercial code of Ethiopia (1960) article No 211-partnership agreement is defined as a contract where by two or more persons who intend to join together, make contributions for the purpose of carrying out activity of all economic nature and of participating in the profits and losses arising out there of, if any.

2.4.1 Features of Partnership

I. FORMATION

It requires the existence of two or more persons.

There must be a contractual agreement between the persons known as memorandum of association or articles of partnership.

The memorandum of association is also known as article of co partnership. Since the partnership is a voluntary association of individuals, each partner usually contributes capital, labor, skill etc. to the firm. An agreement must be reached regarding such items as to the investment to be made by each member, how to divide the future profits among themselves etc. Such an agreement may be oral, written, or implied by the actions of the parties although it is preferable that the agreement be in writing to avoid misunderstandings.

If the partnership involves real property to be transferred to the firm, or if the length of business transactions will be longer than one year from the date of the contract, then they must prepare a written agreement.

According to the commercial code of Ethiopia (1960), the formation of any business organization other than joint venture shall be of no effect unless it is made in writing and is known to third parties. It sets forth the exact relationship between the parties and includes the following items.

- ✓ Date of the contract.
- ✓ Name of the business
- ✓ Names, nationality and address of each partner
- ✓ Location of the business (the head office and branches, if any)
- ✓ The purpose of the firm and the nature of the business
- ✓ Contribution of each partner, his or her value and methods of valuation.
- ✓ Duties, obligations and restrictions of partners.
- ✓ Distribution of profit and losses
- ✓ Duration of the firm
- ✓ Salaries and withdrawals of partners
- ✓ Procedures for dissolution of the partnership etc.

II. CONTRIBUTION

The contribution made to this form of ownership of business by each partner can be in the form of cash (money), liability, fixed assets, other property or experience, knowledge, ability etc. If it is not clearly stated on the memorandum of association and agreed up on by each member, the contribution that has to be made for the business should be on an equal basis. The money (capital) for the business may be raised by borrowing from outside financial institutions depending on the strength of the business and the personal property of the partners. Partners can use their personal property as collateral to borrow large amount of money from outside financial institutions.

III. MANAGEMENT SITUATIONS

In this form of business, every partner has the right to actively participate in the management of the firm and responsible for the performance of the organization. The partnership agreement provides the assignment of duties and responsibilities of each partner, and how the partners will manage the partnership based on their capital contribution, educational background, knowledge and experience.

IV. DURATION OF THE PARTNERSHIP.

The partnership will be terminated if one of the partners withdraw, die, imprisoned, insane, or if the business is bankrupt. That means the life of the business depends upon the life of the partner. However, if the remaining partners agree to continue the business in the previous form, style and name, the firm will not be dissolved.

In some situations, the partnership can also be dissolved if

- The purpose for which it is established is achieved
- It can not achieve the purpose or
- With the agreement of the partners before the expiry of the term.

V. OTHER LEGAL FEATURES.

➤ Implied agency

This means each and every partner is liable for every fault and wrong he/she does while taking part in the management activity. When acting on his/her given specified areas, every partner has an authority to act on behalf of his/her fellow partners and the firm in the ordinary course of the business. Thus, he/she is an agent of the firm and other partners.

➤ Utmost good faith

It means that there must be high standard of honesty among the partners. That means every partner must disclose all facts that believed to be necessary and one should not get any secret benefit behind the other. There must be mutual trust and confidence among the partners.

➤ No separate legal entity

Just like the sole proprietorship form of ownership, the law recognizes partnership form of business and the owners as one and the same. There is no distinction between the owners and the business and the firm has no independent legal existence apart from a person who constitutes it.

➤ **Restriction on transfer of interest**

In the partnership form of business, the partner cannot transfer his share or give his/her ownership to other third part or outsiders without the consent or agreement of other partners.

➤ **Unanimity of consent**

If change intended to be introduced to the business, it requires the agreement of all partners. No partner can act out of the specified rules and regulations. If a partner makes major and special decision, he/she requires the consent or agreement of all partners before the decision will be implemented.

2.4.2 Types of Partnership

Partnerships are classified as either general or limited.

➤ **General partnerships**

General partnerships are the most common types of partnerships. Whenever the term partnership appears by itself, the reference is always to the general partnership in which all partners participate actively in the business and share all responsibilities, including unlimited liability. A general partnership is really a sole proprietorship multiplied by the number of partners. There is no legal limit to the number of partners.

The general partnership consists partners who are jointly, severally partially and fully liable as between themselves and to the partnership undertaking and all partners have unlimited liability i.e. if the business asset is not sufficient to cover the liability, debt coverage goes to the extent of his/her personal assets.

➤ **Limited Partnerships**

Limited partnership must contain at least one general partner who must assume unlimited liability for all business debts. The purpose of limited partnership is to allow a person to provide capital, on which he/she expects a normal return, with out assuming liability for debts beyond the amount of his/her investment. In this type of organization, one or more partners may have limited liability as long as at least one other partner who has unlimited liability.

-The withdrawal, death or retirement of the limited partner does not dissolve the firm, but if the general partner should withdraw, or die, the partnership would be terminated.

- Limited partners do not participate in the active management of the business. Limited partners are attracted to this form of partnership because it offers them an opportunity to invest their capital without being involved in active management. Limited partners do offer general partners the possibility of raising additional capital with out giving up managerial control of the business.

2.4.3 Types of partners

Partner's duties and responsibilities may vary with respect to such factors and management practice, sharing of profits, and extent of liability. General and limited partners may also be secret, silent, dormant or nominal partners.

a) Secret partners are those partners who are active in the business, but are not known to the general public.

b) Silent partners. Silent partners are known to the general public but are not active in management of the business.

c) Dormant partners- Dormant partner is neither active in management nor known to the public. This type of partner is often limited partner.

d) Nominal partner- Nominal partners invest no capital in a partnership and thus are not true partners. Instead they often provide experience, special skills or other non-monetary factors of value to the business.

2.4.4 Advantages of Partnership

- **Ease of organization-** although more difficult to organize than the sole proprietorship, all that is essentially needed in the partnership is an agreement between the partners.
- **Capital availability.** The partnership form of ownership has more than one owner, therefore, providing more sources of fund than the sole proprietorship. Financial institutions are also more willing to lend money when two or more people are responsible for the repayment of the borrowed capital.
- **Ease of expansion.** Since there is the greater chance of getting large amount of capital, the partnership could expand more easily than the sole proprietorship. Also the other point to be considered is the fact that multiple owners can supervise more employees and larger facilities than could a single individual.
- **Management benefits.** Since there are always at least two partners, no one individual is forced to handle all the diversified activities. Each partner may control different functions of the firm such as internal as well as external relation of the firm. This pooling of talent is of tremendous value to the business as it enables the partnership to operate with a variety of specialists.
- **Highest credit standing.** The partnership usually enjoys the highest credit standing as compared with the sole proprietorship and the corporation. In case of the sole proprietorship the personal assets of one owner may not be sufficient to satisfy the business debts. But in the partnership there are two or more owners combining their personal assets and can borrow large sum of money. In case of the corporation, the owners do not risk their personal wealth to satisfy business obligation and therefore, do not warrant a high credit standing.
- **Tax benefits.** Just as in the sole proprietorship the partners are taxed as individual and there is no double taxation, as found in the corporate form of business.

2.4.5 Disadvantages of Partnership

- **Unlimited liability.** If the asset of the partnership is not sufficient to pay its obligation, the creditors have the right to claim the personal property of any or all of the partners to satisfy the debt.
- **Delay in Decision Making.** It is obvious that decisions made by several partners are often better than those made by one. However, having two, or more people deciding on some aspect of the business can also be difficult. The partners will not always agree with each other, as every partner would try to assert his/her positions and tries to promote his/her personal interest. As a result poor decision may be made and important decision-making becomes more time consuming hindering the business from seizing advantages of new business opportunities.
- **Lack of Continuity.** The partnerships can be terminated by the agreement of the partners themselves, by court order, or in the event of the death, insanity of any partner or bankruptcy of the business. Therefore, it is obvious that the more people involved in the firm, the greater the chance of dissolution causing the partnership to be the least permanent form of business ownership.

➤ **Investment withdrawal difficulty**

A person who invests money in a partnership may have a hard time withdrawing the investment. It is much easier to invest in a partnership than to withdraw. The money invested is some times called **frozen investment** because it is tied up in the operation of the business.

2.5 PRIVATE LIMITED COMPANY

Private limited companies are formed from partnership or family business and become incorporated business firm. These are under the control of small number of people or family members who are both directors and majority shareholders. Private limited company shares some characteristics from the partnership and some features from corporation.

2.5.1 Definitions and Nature

According to the commercial code of Ethiopia (1960) private limited company is defined as a company whose members are liable only to the extent of their contribution. The members of the private limited company should not be less than two or more than fifty and the business is always commercial in form. The company is prohibited to issue transferable securities in any form. If the members reduced below the legal minimum number, the organization will be dissolved.

Private limited company cannot be involved in the activity of banking, insurance or any business of similar nature.

2.5.2 Formation of Private Limited Company

The company must have name, which is followed by private limited company. It is instituted in the form of memorandum of association, and signed by all members or by persons acting on their behalf and is authenticated. According to the commercial code of Ethiopia, the memorandum of association should contain the following terms.

- ✓ the name, nationality and address of the members
- ✓ the company name, head office and branch, if any
- ✓ the amount of capital
- ✓ the value of contributions made by each member
- ✓ a statement that the capital is fully paid
- ✓ the number of shares held by each member
- ✓ the procedure for distribution of profits
- ✓ the number of managers, their powers and the agents, if any
- ✓ the period of time for which the company is established etc.

When members make contribution in kind, the value should be accepted by the other members and the method of valuation should be accepted by all members.

2.5.3 Management of the Company

One or more managers manage the private limited company. If there are more than twenty members, the decision is passed at the meeting of the members and auditors appointed by the members, but when there are twenty or less members, the decision may not require the meeting of all members. In this form of business, managers other than members may be appointed by the members or by the memorandum of association.

2.5.4 Dissolution of Private Limited Company

Just like other forms of business organizations, the private limited company is dissolved by the court order at the request of any member where the term of the company has not been fixed. The

death of a member, bankruptcy, or insolvency of a member will not cause dissolution of a company.

2.6 CORPORATIONS (JOINT STOCK COMPANY)

Corporation is one of the most important forms of business organization. Corporation offers an easier way to finance itself by means of dividing its ownership into many small units that can be sold to a wide economic range of customers. A corporation also offers a limited liability to the person interested in the enterprise and has unlimited life span not affected by the death of any particular owner or by the transfer of the shares of any particular owner.

2.6.1 Nature of the corporation

Corporation is an entirely different organizational structure from the sole proprietorship or Partnership. Corporation is an artificial being, invisible, intangible and existing only in contemplation of the law. In other words, the corporation is an artificial person having no existence except in the eyes of the law. It is a legal person that is created by the governmental action. This means that the property of the corporation is not owned by the persons who own shares in corporation, but by the corporation itself.

2.6.2 Characteristics of the corporation

Corporation has the following important characteristics.

- **Separate legal entity.** A corporation becomes a legal entity and is granted many of the same rights as individuals. Like any person, the corporation has the right to manage its own affairs, the right to produce and sell products to customers, the right to buy, own, and transfer property, the right to make contracts, sue and to be sued. A corporation is formed by obtaining approval of a certificate of incorporation, article of incorporation or charter from the state.
- **Limited Liability.** The liability of shareholder is generally limited. This means that the shareholder is not personally responsible for the debts and liabilities of the corporation. Since the corporation has separate legal entity, the debts of the corporation are the debts of this artificial person and not of the people running the corporation or owning the shares of stock in it. The capital contributed by the shareholders may be exhausted by the claims of the creditors but if there is unpaid balance the personal property of the shareholder will not be affected.
- **Corporation has unlimited life span.** The corporation has the power to continue as a unit forever or for stated period of time regardless of changes in stock ownership. If no period is fixed for its duration, the corporation will exist indefinitely unless it is legally dissolved. It can be dissolved in only three ways.
 - i. By court order
 - ii. By the approval of the majority of the stockholders
 - iii. By the expiration of the corporate charter. The corporation is not affected or interrupted by the death, withdrawal of any shareholder or director or by insolvency of the company.
- **It is empowered by the government to carry on specific line of business.**
- **Transferability of shares.** The shareholders have the right to transfer or sale their shares to others with out consent of other members.

- **Separations of management from ownership.** The shareholders or owners do not have the opportunity to manage the day-to-day operation of the business. The corporation is managed by paid individuals who have specialized capacity and experience.
- **Common seal.** A corporation is not a natural person and therefore cannot sign document by itself. There should be a common seal designed in the name of the corporation (company) and used as a substitute for its signature.

2.6.3 Classifications of Corporation

Corporations may be classified in terms of their relationship to the public and the nature of their activities.

I. Public corporations

A public corporation is a company whose stock is widely held and available for sale to the general public. These are businesses owned by large number of public investors. These investors buy stock on the open market, thereby providing public corporations with large amounts of permanent capital. In return, the shareholders receive the chance to share in the profits if the corporation generates profit.

II. Private corporations (closely held corporation)

A private corporation is a business whose stock is held by small group of individuals and is not available for sale to the general public. Private corporations withhold their stock from the public sale, preferring to finance any expansion with out their own earning or to borrow from some other source. Many such corporations are small firms, which in the past would have operated as proprietorships or partnerships but are incorporated to obtain the advantages of limited liability and other corporate benefits. Some times the controlling group may be a family, employees or the management group.

III. Special service corporations. These are corporations formed for transportation, banking, insurance, savings and loan operations and similar specialized functions. The state laws and the administrate agencies regulate on detail the manner in which business is conducted.

IV. Non- for profit corporations. Not all corporations are profit-making institutions. There are many non-profit corporations as well. For instance corporations are organized for educational, religious and charitable purposes. Any income resulting from the operations of the firm is used for the specific purpose such as educational and religious purpose not distributed to its owners.

2.6.4 Corporate Structure

From the practical point of view, the shareholder of the large public corporation cannot run the corporation because they are too many to serve as an efficient managing body. Instead, they elect a board of directors to represent them. The directors, in turn, select and monitor the top officers who actually run the company. Therefore, there are three bodies that constitute the corporate structure: the stockholders, the board of directors and the officers of the corporation.

I. The Stockholders

- The stockholders are known as the owners of a corporation. They are individuals who buy share of stock that show proof of ownership.
- They do not own property as the proprietor or partners do in the other form of business.

- They also do not possess title of the company property, but have direct claim on the property in the event of liquidation after creditors and preferred stockholders.

Types of stocks

Corporations can raise money by selling shares to investors who are known as stockholders or shareholders. Business profits are distributed among the stockholders in the form of dividends. Corporate stocks may be preferred stocks or common stocks. Preferred stocks are shares whose owners have first claim on the corporation's assets and profits but who usually have no voting right in the firm. Preferred stock guarantees those who own it a fixed dividend, much like the interest payment earned in a saving account. Preferred stock holders have priority or preference over common stock holders as to dividends and also to assets if a business is liquidated after creditors or bond holders. In contrast, common stock usually pays dividends only if the corporation makes a profit.

Common stocks are shares whose owners usually have last claims on the corporation's assets (after creditors and owners of preferred stocks) but who have voting right in the firm. Dividends on common stock are paid on the per-share basis. Thus, stockholder with hundred shares receives hundred times dividends paid per share. Preferred stockholders do not have voting rights, but common stockholders always have voting right with each share of common stock, which is usually issued by big corporations. Every corporation whether it is big or small must issue common stock.

According to corporate charter each stockholder receives one vote for each share of stock owned. Because of the large size of the corporation, usually hundreds of thousands of stockholders have the right to vote, although most of them do not always attend annual meetings. Therefore, corporations provide each absentee stockholder with special form (document) known as **proxy**. The proxy is the power of attorney that transfers to third party the stockholder's right to vote. It does not transfer the legal ownership of the share and is usually valid only for specific meeting. In this manner, stockholders who are unable to attend meeting are able to vote and make their wishes on issue of importance.

Since stockholders are the owners of the corporation, they have certain group as well as individual rights.

Some of the **group rights** are the right

- to vote and amend the by-law.
- to elect directors.
- to change the charter
- to vote on the disposal of corporate asset
- to dissolve the corporation

Individual rights are:

- to buy, sell and transfer his/her stock
- to receive dividends in the proportion to the number of shares owned.
- to inspect and review company records.
- to vote at stockholders meeting
- to receive evidence of ownership (stock certificate).
- To share in the distribution of assets in the event of dissolution.

By electing the board of directors, the stakeholders delegate their authority and usually exercise indirect control over the affairs of the business.

II. The Board of Directors.

Usually the numbers of board of directors in many companies are not less than three members and not more than twelve members. Most states permit the number of directors to be fixed by the laws. Representing the shareholders, the boards of directors are the chief governing body of the corporation. Since the board of directors are elected by the shareholders, they are responsible for the following activities.

- a. They choose the president (chief executive officer) and other officers and delegation of authority/power to run the day-to-day activities of the business.
- b. They decide on major issues and problems including expansion of the business closing up or retraction of the unprofitable branch or change of product line.
- c. They also are responsible for declaration of dividends. This involves such decisions as the percentage of the earnings to be retained and the method of dividend payment.

III. Officers

The officers of the corporation are elected by the board of directors and are directly responsible to them for the carrying out of business objectives. They act as agent of the firm because they have the power to bind the corporation contract.

The chief executive officer (C.E.O.) may also be the chairman of the board, the president of the corporation or both. The chief executive officer and the board, usually appoint officers below-top rank including most vice presidents.

We have seen that the corporation is formed by the approval of the certificate of incorporation or charter by the government. This corporate charter is written by the law of the company and it contains

- ✓ Name address and location of the corporation
- ✓ For what purpose it is going to be established
- ✓ The amount and kind of stock to be authorized (i.e. how much common stock or preferred stock)
- ✓ Privileges and voting powers of each stock and duration of the corporation.
- ✓ After the charter is approved by the government three way contract may be created between
 - ✓ the state and the stockholders
 - ✓ the stockholders and the corporation
 - ✓ the incorporators and the state

Incorporators are persons who make the application for the certificate of incorporation.

2.6.5 Advantages of Corporation

- **Limited Liability:** The creditors cannot look beyond the assets of the corporation to settle their debts because the corporation is a separate entity. The stockholders liability is limited to the extent of the face value of the share held by each of them and their personal property cannot be affected.

- **Capital formation.** Since the corporation can divide its ownership in to shares of small denomination, it can attract capital from thousands of individuals of varying income. In addition to this, corporation can also easily borrow large some of money because the amount needed gives interests to those agents that market securities. The company can raise a large amount of capital by issuing shares as long as investors are willing to purchase additional shares of stock.
- **Transfer of Ownership.** In a matter of moments, stockholders are able to buy or sell shares through brokers in organized market known as stock exchange/market.
- **Continuity or stability.** Since the corporations are not dissolved by bankruptcy of the company or insanity, withdrawal, death of stockholders change of management or dispute over the ownership, they possess perpetual life.
- **Staffed with management specialists.** Because the corporation is larger than the proprietorship, partnership and private limited company, it can be staffed with skilled and experienced specialists to a greater degree.
- **Possibility of expansion.** Since the corporation uses a large capital investment, it would be possible to use latest equipment and machineries in order to carry out its operation at large scale. This would decrease the cost of production and increase profit and leads to big reserve that serves for expansion of the company.
- **Diffused or spread of risk.** Because there are a number of stockholders, the risk is spread or divided over several members and is reduced for each member. This would attract more investors to take risk of new opportunities.

2.6.6 Disadvantages of Corporation

- **High cost of organization.** The corporation must get government approval and legal assistance in forming this type of ownership. The time interval for organizing the corporation is long because it may take many months, even years before the firm is formally recognized. Also the high cost of legal procedure and investment in time will not encourage small business to enter in this form of ownership.
- **Double taxation.** The corporate form of organization must pay tax in the same manner as individual and result in double taxation of corporate income. Double taxation developed first from the taxing of the net profits of the corporation i.e. the corporation, as a legal entity should pay profit tax. Second from the portion of the profits distributed to the stockholders as they receive individual income from the corporation
- **Lack of owner's personal interest.** Since corporations have thousands of owners who usually own a very small part of the business, each one has little interest in the management of the firm.

Normally their interest is in the amount of dividends they will receive and increase the value of their stock. Paid individuals manage the corporations and directors who may not be expected to have intense inters in the success of the business.

- **Delay in decision-making.** In the corporate form of business, there may not be flexibility and promptness of decisions. Sometimes decisions on key issues requiring the general meeting of stock holders may be delayed because of the time in terval between the meetings, difficulty of getting the required number of members to pass the decisions and the presence of diverse interest, which may lead to disagreement and time consuming.
- **Lack of secrecy.** The publication of the required financial reports of a corporation becomes a matter of public record. Therefore the large corporation is unable to keep confidential on

certain areas that they do not wish to reveal (profits or losses, sales, salaries to individuals or dividends paid to stockholders) allowing competitors to change their plans on the corporation's open book.

- **Rule by few or oligarchic fraudulent management.** The power of managing the corporation may concentrate in the hands of a very small group known as oligarchy. That means some dishonest managers may succeed by misleading and cheating the stockholders as they wish.